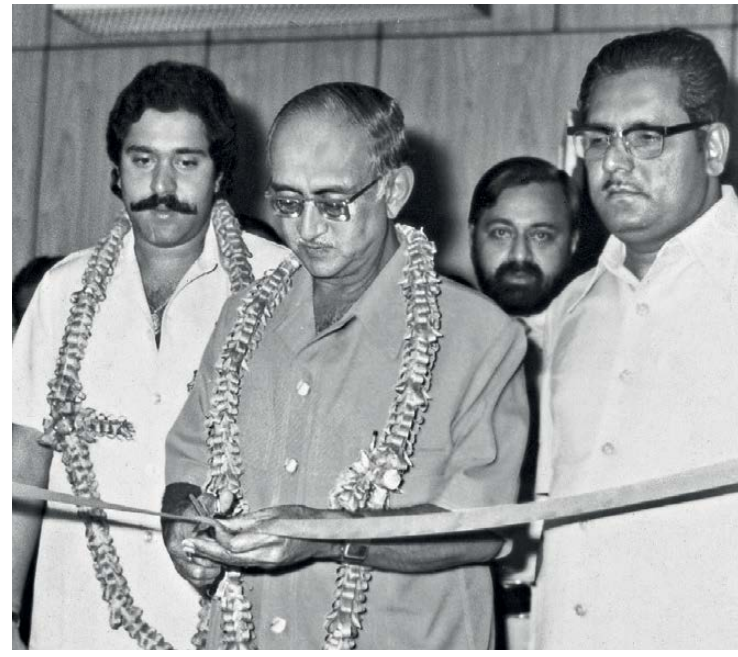


SHARAD SAXENA





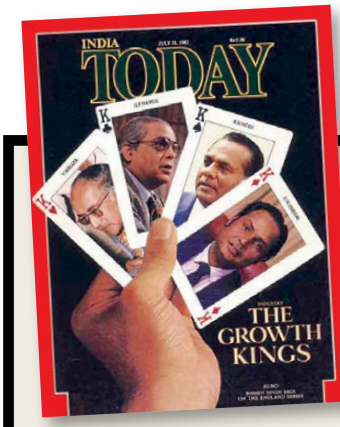
INDIA TODAY ARCHIVES

DOING GOOD BUSINESS
Clockwise from left, industrialists K.N. Modi, H.P. Nanda, and Vijay Mallya with his father Vittal Mallya

Between 1975 and 1985, India began to see a complex and contradictory economic milieu. Socialist ideas proliferated under Indira Gandhi's leadership, and were reinforced by the political establishment through slogans (*garibi hatao*!) and expanded state control. But while licences, quotas and nationalised banks ran the show, and public rhetoric frowned on private wealth, a new class of ultra-wealthy magnates sprouted from surprising corners.

One big push came from changes in banking and credit. After nationalisation, banks were nudged to lend more to priority sectors, small business and new entrepreneurs, opening "so many safes and vaults that the economy was literally awash with money", as Jay Dubashi put it in INDIA TODAY (May 1-15, 1980). Inflation rose, but so did opportunities for those who understood banking rules and bureaucratic pathways. Dubashi described Goa as a "millionaires' Shangri-La", where fortunes were built through mining and shipping, helped by wartime disruptions, lax colonial laws and ..."good luck and a friendly agent at the other end" (December 31, 1978). By the mid-1980s, "the new millionaires" were a recognisable tribe, who proved a simple truth: in a controlled economy, policy knowledge, timing and access mattered more than invention—and those who grasped this became very rich indeed. ■

BY THE MID-1980S, 'THE NEW MILLIONAIRES' PROVED THAT KNOWLEDGE OF POLICY, TIMING AND ACCESS COUNTED MORE THAN INVENTION



The Growth Kings
Jul. 31, 1982

"In the 1970s, Indian industry grew by a paltry 4 per cent a year.... But in the midst of this lacklustre record, there are those who have turned up trumps: the growth kings. Seventeen years ago, Dhirubhai Ambani was hawking imported yarn to a textile industry on the decline. Today, he heads a textile unit set to rank as the fourth largest private sector company in the country. The Modis, operating out of a back-water near Delhi, have blazed their own trail in a host of industries."